

What did you learn as a broker that allowed you to go from a string of early losses to making money almost every year?

Being a broker provided an excellent vantage point. By observing retail clients, I learned a lot about what not to do, like taking small profits and letting losses run—a lesson that I had also learned from my trading days in college. I learned about the psychology of the markets and how certain traders were surprisingly accurate at picking tops and bottoms—the wrong way—based on emotional decisions and market activity rather than technical or fundamental analysis. I learned the value of the classic “buy the rumor, sell the facts” kind of trading because it put you on the opposite side of retail buying. I also noted how the most obvious technical patterns were often the ones that didn’t work. I still look for those trades today; the more obvious they are from a chart standpoint, and the more the opposite position makes sense from a fundamental standpoint, the more interested I am if the pattern fails. So, while I try to keep emotions out of my trading, which is the real challenge, I try to imagine how the guy who took the textbook trade and is losing money feels. Where will he finally capitulate? Is this the start of a big move the other way?

When did you go from being a broker to managing money?

The first step came in 1993 when one of my clients, who was a professional trader, asked me to manage \$100,000 for him. I knew what it was like to trade my own money, but I didn’t know what it was like to have power of attorney over someone else’s money. I told him, “We’re friends, and if I lose your money, I don’t want it to affect our relationship.” He said, “Scott, I give money to other people to manage; it’s what I do. I think you have good ideas in the market. I want you to trade this account for me.” I had decided that I would manage his money and my money for one year, and at the end of the year, if it worked out, I would register as a CTA and try to get other accounts.

And did you?

Yes, I started the CTA one year later.

How did you do?